

RatingsDirect®

Summary:

Hot Springs, Arkansas; Water/Sewer

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Rating Action

S&P Global Ratings revised its outlook to stable from negative and affirmed its 'A' underlying rating (SPUR) on Hot Springs, Ark.'s existing water revenue bonds.

We revised the outlook back to stable based on audited fiscal 2019 and 2020 financials that outperformed prior expectation, with debt service coverage at 1.9x and 2.2x. Additionally, unrestricted cash rose to \$10.7 million in fiscal 2020, equivalent to over 400 days of operating expenses. Additionally, we note the service area, although somewhat limited, has experienced a rise in income indicators to 63% of median household effective buying income (MHHEBI), representing modest economic improvement.

We view bond provisions as credit neutral. Net revenues of the water system secure the bonds. Hot Springs has covenanted to set rates and charges such that net revenues are at least sufficient to meet operations and maintenance and debt service requirements. The system may issue additional bonds if it achieves a 1.1x net revenue test on existing and proposed bonds; the test can include rate adjustments. Additionally, in lieu of a cash debt service reserve, the bonds will have a debt service insurance policy. As of Dec. 31, 2021, the water system had approximately \$146 million of parity-lien obligations and about \$8.1 million of subordinate loan obligations. The city recently entered into a direct purchase with Regions Capital Advantage Inc., and those series 2021 bonds are a refunding for the series 2015 and 2010B. In our opinion, the agreement does not present a contingent liquidity risk given the bonds are on parity with the wastewater senior lien bonds, follow the same provisions and there is no acceleration or cross-default language.

Credit overview

The rating reflects our opinion of the water system's significant capital plan and associated debt incurred in fiscal 2020, which increased annual debt payments by over 100% by 2023 and is projected to significantly decrease debt service coverage from historical levels. The current rating incorporates our expectation that debt service coverage will decline from historically robust metrics but that it will stabilize around 1.2x given 5% rate increases through 2021 and approved 3% annual rate increases thereafter. In our opinion, the investment in the Lake Ouachita Project and long-term water supply will add redundancy and reliability, which we view as a long-term credit strength. Additionally, the service area economy is somewhat limited and driven by tourism and income metrics are below average, which could negatively affect long-term rate affordability.

Credit strengths of the water system include:

- Investment in long-term water supply and treatment capacity to meet future demand, history of timely rate

increases, and work with an external rate consultant;

- Robust liquidity position at \$10.7 million, equivalent to over 400 days of operating expenses for fiscal 2020, which management does not expect to materially draw down given the large debt funded capital plan; and
- Financial Management Assessment that we believe is comparable with that of other peers at the current rating level, meaning the city's policies are transparent but in some areas are less robust or not formalized. Policies and practices include monthly presentation of water system financials to council, long-range capital plan updated annually in the budget, informal reserve targets, and formalized debt and investment policies. However, the city does not produce annual long-range financial forecasts, as this is done only in coordination with a formal rate study.

Offsetting the strengths include:

- Below-average, though improving income metrics for both the city and Garland County, at 63% of the national average for the city and 78% of the national average for the county. The city also is driven by tourism, which can be susceptible to recessions and economic cycles; nevertheless there was minimal impact from the COVID-19 pandemic;
- Affordable water system rates; however, the below-average economic indicators and high county poverty rate at 16.9% could pressure rate-raising flexibility and long-term affordability of system rates; and
- Large capital plan and high debt-to-capitalization ratio at 67%; however, management has no future debt plans; and
- Historically robust debt service coverage that we expect will decline despite historical and projected rate increases, with the current rise in debt still outpacing projected revenue, resulting in our projected weaker debt service coverage.

The stable outlook reflects management's efforts to work through its large capital plan while maintaining at least adequate debt service coverage through 3% annual rate increases and no future debt plans. The stable outlook further reflects our expectation that unrestricted cash will not be drawn down materially.

Environmental, social, and governance

Overall, we believe environmental risks are somewhat heightened above peers given the high water loss at about 20% (down from 40% historically). Management has been working on meter replacements and renewal and replacements to decrease water loss. Management indicated there has been no contamination in water supply and the Lake Ouachita Project will increase water supply and treatment capacity to meet long-term demand. In our opinion, social risk is in line with peers given current water rates are less than 1% of MHHEBI; however, given below-average incomes and the high county poverty rate, there could be less rate-raising flexibility in the future. Governance risk is in line with peers, as we believe management is taking necessary actions to ensure the system is in compliance with regulations, improvements are being made to decrease water loss, and financials are being consistently reviewed with support of a rate consultant to ensure financial stability.

Stable Outlook

Downside scenario

We could lower the rating if costs of the large capital plan exceed expectations or revenues are not sufficient to produce at least adequate debt service coverage while debt service rises. We could also lower the rating if management spends more unrestricted cash on capital projects, resulting in a significantly weaker days' cash position and total unrestricted cash and investments.

Upside scenario

In our opinion, the rating is constrained by the expected lower debt service coverage, large capital plan, and limited economic fundamentals. We could raise the rating if future financials significantly outperform our expectations and if the service area economy materially diversifies and improves, represented by higher incomes, a lower poverty rate, and a more diverse employment base.

Credit Opinion

The city of Hot Springs is in southwest Arkansas, approximately 55 miles southwest of Little Rock. The local economy centers on tourism due to the city's natural hot spring, downtown historic district, and national park. We understand the city serves about 50% of customers within city limits with the remainder in Garland County, which has slightly stronger income indicators at 78% of the national level. The city serves about 34,800 primarily residential customers with no material concentration from the leading customers.

For residential customers, management indicated the average water bill is about \$24 based a 5,000-gallon bill within city limits. As a percentage of MHHEBI, the 5,000-gallon water bill is less than 1%, which is affordable but pressured by the high county poverty rate at 16.9%. The city reviews rates annually and last raised rates in January 2021 by 5%, and council approved future rate increases of 3% per year.

The water system has sufficient water supply and treatment plant capacity to meet demand. The two treatment plants have a combined capacity of 27.5 million gallons per day (mgd), and average daily demand was 53% in 2020 with a peak below 60%. We understand the new intake allowing for additional 23 mgd water from Lake Ouachita, new 15 mgd treatment plant, and interconnection between the plants will add redundancy to the system.

Debt service coverage was historically robust at approximately 2.0x; however, we expect this will decline to only an adequate level by 2023. Historically, debt service was about \$4 million, and is expected to rise to \$8.7 million in 2023. Annual rate increases of 5% for the past three years and 3% after 2021 will be sufficient to support at least adequate metrics.

Unrestricted cash has grown during the past five years, which we view as a credit strength, to \$10.7 million (fiscal 2020) from \$6.3 million (fiscal 2017). However, we do expect cash will decline slightly based on modest planned pay-go projects and management's projections of less net revenue after debt service to continue building reserves. Management indicated an informal plan of maintaining a minimum of 75 days in unrestricted cash going forward, but did not indicate they will maintain a cash level that low.

The capital plan is large, including the over \$100 million Lake Ouachita project. Annual renewal and replacement projected in the city's annual budget is about \$2 million yearly. Debt-to-capitalization is high at 67%, but given the lack

of future debt plans, we do not expect this will rise in the near term. The majority of the capital plan will be funded from the 2020 bond proceeds and modest annual pay-go.

Related Research

Through The ESG Lens 2.0: A Deeper Dive Into U.S. Public Finance Credit Factors, April 28, 2020

Ratings Detail (As Of November 19, 2021)		
Hot Springs wtrwks (BAM)		
<i>Unenhanced Rating</i>	A(SPUR)/Stable	Outlook Revised
Many issues are enhanced by bond insurance.		

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